

He saw me trade in the pit, and I guess he thought I could make money. I don't know why he thought that, but he did. I also think he wanted to give me a shot. What happened was that after I had been trading the account for about one month, I lost \$16,000. I called him that night to let him know about the loss I had taken. It was the most difficult call I ever had to make because he was a friend of mine, and he had given me an opportunity. He told me to take some time off to clear my head. After I came back, though, he told me they had decided to terminate the account.

I have to ask you this. You got fired from your first job. Then you got a trading job and blew through the money. They gave you more money, and you blew through most of that. Then a friend gave you a stake, and you lost money so quickly that he pulled the plug before you reached your cutoff point. [As I am reciting this litany, Benedict's laughter builds steadily.] Didn't you at some point say to yourself, "Maybe I'm not cut out to be a trader"?

No. I never gave up.

I know you never gave up, but not to be cruel, on what basis did you have any confidence?

I just wanted to learn how to do it and win. I saw all these other guys making money, and I thought if they could do it, I could do it. But up to this point, I had no strategy and no discipline. I was, however, gaining experience. All the mistakes I was making along the way—and there were many—were providing experience, which was critical. The lessons I learned from those early failures helped me become successful.

What did you do next?

The pit was like a fraternity. One of the other traders in the pit who worked for Spear Leeds offered me a job as a specialist. I was the specialist for the XMI calls. I owe a lot of my success to Spear Leeds. They gave me stability. Larry Lovecchio, who I worked for at Spear Leeds, taught me discipline. I watched how he traded—the risk he took and how he protected the capital.

Were you just making the market in the XMI calls or were you also trading a proprietary account?